

DRYAD
FINANCIAL STATEMENTS
June 30, 2025 and 2024

DRYAD
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INDEPENDENT AUDITOR'S REPORT

Board of Directors
Dryad

Opinion

We have audited the accompanying financial statements of Dryad (a nonprofit organization), which comprise the statements of financial position as of June 30, 2025 and 2024, and the related statements of activities, functional expenses and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Dryad as of June 30, 2025 and 2024, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Dryad and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America; and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Dryad's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Dryad's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Dryad's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Propp Christenson Caniglia LLP

May 19, 2026
Roseville, California

DRYAD

STATEMENTS OF FINANCIAL POSITION
June 30, 2025 and 2024

ASSETS

	2025	2024
Current assets:		
Cash and cash equivalents	\$ 687,018	\$ 739,802
Accounts receivable, net of an allowance for credit losses of \$6,232 and \$0, respectively	126,294	107,783
Prepaid expenses	28,438	12,321
Total current assets	841,750	859,906
Property and equipment, net	169	857
Total assets	<u>\$ 841,919</u>	<u>\$ 860,763</u>

LIABILITIES AND NET ASSETS

Current liabilities:		
Accounts payable and accrued expenses	\$ 40,178	\$ 40,162
Payroll liabilities	47,732	68,303
Deferred revenue	283,047	278,797
Commission liability	-	100
Total liabilities	370,957	387,362
Net assets without donor restrictions	470,962	473,401
Total liabilities and net assets	<u>\$ 841,919</u>	<u>\$ 860,763</u>

The accompanying notes are an integral part of these financial statements.

DRYAD

STATEMENTS OF ACTIVITIES
For the Years Ended June 30, 2025 and 2024

	<u>2025</u>	<u>2024</u>
Support and revenue:		
Publisher income	\$ 319,417	\$ 275,119
Institutional memberships	455,809	382,614
Individual data publication charge income	246,645	184,743
Grant income	-	18,473
Program service income	563,969	572,587
In-kind contributions	-	295,850
Contributions	23,405	40,223
Other	<u>3,611</u>	<u>220</u>
Total support and revenue	<u>1,612,856</u>	<u>1,769,829</u>
Expenses:		
Program services	1,102,703	1,459,596
Administrative	482,484	514,456
Fundraising	<u>30,108</u>	<u>107,447</u>
Total expenses	<u>1,615,295</u>	<u>2,081,499</u>
Change in net assets without donor restrictions	(2,439)	(311,670)
Net assets without donor restrictions, beginning of year	<u>473,401</u>	<u>785,071</u>
Net assets without donor restrictions, end of year	<u><u>\$ 470,962</u></u>	<u><u>\$ 473,401</u></u>

The accompanying notes are an integral part of these financial statements.

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STATEMENTS OF FUNCTIONAL EXPENSES
For the Years Ended June 30, 2025 and 2024

	Program Services	Administrative	Fundraising	2025 Total
Personnel	\$ 401,172	\$ 88,421	\$ 1,637	\$ 491,230
Contract services	419,940	334,529	28,471	782,940
Platform	130,446	-	-	130,446
Insurance	12,529	-	-	12,529
Professional services	-	31,457	-	31,457
Office expenses	-	19,647	-	19,647
Marketing and outreach	16,767	-	-	16,767
Taxes, licenses and fees	-	305	-	305
Travel, lodging and meals	34,774	-	-	34,774
Bank charges	-	7,796	-	7,796
Depreciation	688	-	-	688
Program service	80,155	-	-	80,155
QuickBooks Payments Fees	-	329	-	329
Provision for credit losses	6,232	-	-	6,232
Total expenses	<u>\$ 1,102,703</u>	<u>\$ 482,484</u>	<u>\$ 30,108</u>	<u>\$ 1,615,295</u>

	Program Services	Administrative	Fundraising	2024 Total
Personnel	\$ 465,140	\$ 204,170	\$ 74,244	\$ 743,554
Contract services	425,535	285,543	33,203	744,281
Platform	430,642	-	-	430,642
Insurance	11,495	-	-	11,495
Professional services	-	3,851	-	3,851
Office expenses	-	18,941	-	18,941
Marketing and outreach	33,522	-	-	33,522
Taxes, licenses and fees	-	1,088	-	1,088
Travel, lodging and meals	20,605	-	-	20,605
Bank charges	-	863	-	863
Depreciation	688	-	-	688
Program service	64,704	-	-	64,704
QuickBooks Payments Fees	248	-	-	248
Other	7,017	-	-	7,017
Total expenses	<u>\$ 1,459,596</u>	<u>\$ 514,456</u>	<u>\$ 107,447</u>	<u>\$ 2,081,499</u>

The accompanying notes are an integral part of these financial statements.

DRYAD

STATEMENTS OF CASH FLOWS
For the Years Ended June 30, 2025 and 2024

	2025	2024
Cash flows from operating activities:		
Cash received from grants, contracts and contributions	\$ 1,588,752	\$ 1,563,109
Cash received from other income	3,611	220
Cash paid to vendors, employees and other agencies	<u>(1,645,147)</u>	<u>(1,781,528)</u>
Net cash used in operating activities	<u>(52,784)</u>	<u>(218,199)</u>
Change in cash and cash equivalents	(52,784)	(218,199)
Cash and cash equivalents, beginning of year	<u>739,802</u>	<u>958,001</u>
Cash and cash equivalents, end of year	<u><u>\$ 687,018</u></u>	<u><u>\$ 739,802</u></u>
Reconciliation of change in net assets to net cash used in operating activities:		
Change in net assets	\$ (2,439)	\$ (311,670)
Adjustments to reconcile change in net assets used in operating activities:		
Depreciation	688	688
Provision for credit losses	6,232	-
Change in operating assets and liabilities:		
Accounts receivable	(24,743)	32,695
Prepaid expenses	(16,117)	(1,188)
Accounts payable and accrued expenses	16	(23,212)
Payroll liabilities	(20,571)	29,358
Deferred revenue	4,250	56,655
Commission liability	<u>(100)</u>	<u>(1,525)</u>
Net cash used in operating activities	<u><u>\$ (52,784)</u></u>	<u><u>\$ (218,199)</u></u>

The accompanying notes are an integral part of these financial statements.

DRYAD

NOTES TO FINANCIAL STATEMENTS
June 30, 2025 and 2024

NOTE 1: NATURE OF ORGANIZATION

Dryad (the "Organization") was organized in 2012 and is operated as a nonprofit organization exempt from federal and state income taxes under section 501(c)(3) of the Internal Revenue Code.

The purpose of the Organization is to enable the open publication and routine reuse of all research data to enable the acceleration of discovery across domains and the translation of research into benefits for society worldwide. The vision of the Organization is for a future in which the open availability and routine reuse of all research data enable the acceleration of discovery across domains and the translation of research into benefits for society worldwide.

NOTE 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Accounting

The financial statements of the Organization have been prepared on the accrual basis of accounting and accordingly reflect all significant receivables, payables and other liabilities.

Basis of Presentation

The Organization presents its financial statements in accordance with Financial Accounting Standards Board ("FASB") Accounting Standards Codification ("ASC") Topic 958, Subtopic 210 (FASB ASC 958-210), *Presentation of Financial Statements of Not-for-Profit Entities*. Under FASB ASC 958-210, the Organization is required to report information regarding its financial position and activities according to the following two classes of net assets:

Net assets without donor restrictions - Net assets that are not subject to restrictions by an outside entity and may be expended for any purpose in performing the primary objectives of the Organization. These net assets may be used at the discretion of the Organization's management and the board of directors.

Net assets with donor restrictions - Net assets that are subject to stipulations that will be met by actions or the passage of time. Other restrictions are perpetual in nature, whereby the outside party has stipulated the funds be maintained in perpetuity. The Organization did not have any net assets with donor restrictions as of June 30, 2025 and 2024.

Revenues and gains and losses on investments are reported as changes in net assets without donor restrictions unless use of the related assets is limited by donor-imposed restrictions. Expenses are reported as changes in net assets without donor restrictions. Expirations of donor restrictions on net assets are reported as reclassifications between the applicable classes of net assets.

Donor-restricted contributions are reported as revenues which increase net assets with donor restrictions. Expirations of donor restrictions on contributions whose restrictions are met in the same reporting period have been reported as reclassifications between the applicable classes of net assets.

Cash and Cash Equivalents

For purposes of the statement of cash flows, the Organization considers all unrestricted highly liquid investments with an original maturity of 90 days or less when purchased to be cash equivalents.

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NOTES TO FINANCIAL STATEMENTS
June 30, 2025 and 2024

NOTE 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Accounts Receivable

Accounts receivable has been reported at the amounts the Organization expects to collect. The Organization uses the current expected credit losses method to account for credit losses.

Accounts receivable consists primarily of memberships, subscriptions, and DPC fees. The organization evaluates the collectability of its receivables on an ongoing basis and maintains an allowance for credit losses using a combination of historical loss experience, current conditions, and reasonable and supportable forecasts in accordance with ASC 326 – *Financial Instruments – Credit Losses*.

The following reflects the activity in accounts receivable and allowance for credit losses as of and for the years ended June 30:

	2025	2024	2023
Accounts receivable	\$ 132,526	\$ 107,783	\$ 140,478
Allowance for credit losses			
Balance as of July 1,	-	-	-
Additions charged to expense	(6,232)	-	-
Accounts written-off, net of recoveries	-	-	-
Balance as of June 30,	(6,232)	-	-
Accounts receivable, net	<u>\$ 126,294</u>	<u>\$ 107,783</u>	<u>\$ 140,478</u>

Prepaid Expenses

Prepaid expenses consist of the unamortized portion of memberships and insurance policies paid in advance and are amortized over their respective membership and policy periods.

Property and Equipment

Property and equipment are stated at cost if purchased or estimated fair value if donated. The Organization capitalizes expenditures for property and equipment in excess of \$5,000 with a useful life of more than one year. Depreciation is recorded using the straight-line method over estimated useful lives of the related assets.

Revenue Recognition and Deferred Revenue

The Organization has adopted the provisions of FASB ASC 606 as revised by ASU 2014-09, *Revenue from Contracts with Customers* (Topic 606). These provisions focus upon the satisfaction of performance obligations, which represent the unit of accounting for recognizing revenue when promised goods or services are transferred and in an amount that reflects the consideration to which the Organization expects to be entitled in exchange for those goods or services. Membership, subscription, and DPC fees are recognized in the amount that reflects the consideration expected for providing services overtime. The Organization establishes the transaction price based on membership type, level, and number of data sets. As membership, subscription and DPC fees are individually priced, no allocation of transaction price is necessary. Membership, subscription and DPC fees received in advance of services to be provided are recognized as deferred revenue and are subsequently recognized as income within the fiscal year in which services are provided. Discounts are netted against gross fees. Membership, subscription and DPC fees paid in advance are classified as deferred revenue.

NOTES TO FINANCIAL STATEMENTS
June 30, 2025 and 2024

NOTE 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Contributions

Contributions received are reported as net assets without donor restrictions, or net assets with donor restrictions. Contributions, including unconditional promises to give, are recognized as revenues in the period the promise is received. There were no contributions receivable as of June 30, 2025 and 2024. Conditional promises to give are not recognized until they become unconditional; that is when the conditions on which they depend are substantially met. There were no conditional pledges as of June 30, 2025 and 2024. Contributions that are promised in one year but are not expected to be collected until after the end of the year are reported at fair value using the discounted cash flow methodology.

Contributed Nonfinancial Assets

The Organization records in-kind support of professional services. Contributed professional services are recognized if the services received (a) create or enhance long-lived assets or (b) require specialized skills, are provided by individuals possessing those skills, and would typically need to be purchased if not provided by donation. Unless otherwise noted, contributed nonfinancial assets did not have donor-imposed restrictions. Contributions of tangible assets are recognized at fair value when received. There were no contributed nonfinancial assets for the year ended June 30, 2025. For the year ended June 30, 2024, contributed nonfinancial assets consisted of \$295,850 of professional services and were used for platform and server hosting.

Functional Allocation of Expenses

The costs of providing the various program services and activities have been summarized on a functional basis in the statement of activities and in the statement of functional expenses. Accordingly, certain costs have been allocated among the program services and activities based on estimates of employees' time incurred and on the usage of resources.

Income Taxes

The Organization is exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code and Section G.S. 105-125(a) of the Revenue and Taxation Code of North Carolina.

Accounting principles generally accepted in the United States of America require Organization management to evaluate tax positions taken by the Organization and recognize a tax liability or asset if the Organization has taken an uncertain position that more likely than not would not be sustained upon examination by the Internal Revenue Service. Organization management has determined that as of June 30, 2025 and 2024, there are no uncertain tax positions taken or expected to be taken that would require recognition or disclosure in the financial statements. The Organization is subject to routine audits by taxing authorities, however there are currently no audits for any tax periods in progress.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates. Significant estimates used in the preparation of these financial statements include the estimated lives of property and equipment, estimation of deferred revenue, and estimated allocation of functional expenses.

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NOTES TO FINANCIAL STATEMENTS
June 30, 2025 and 2024

NOTE 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Leases

The Organization presents its leases in accordance with the provisions of FASB ASC 842, *Leases*. Leases with an initial term of 12 months or less, which are not expected to be renewed beyond one year, have not been recorded on the statement of financial position and are recognized as lease expense on a straight-line basis over the lease term. For the years ended June 30, 2025 and 2024, the Organization was not obligated under any lease arrangements.

Reclassification

Certain amounts in the 2024 financial statements have been reclassified, with no effect to net assets to conform to the 2025 financial statements presentation.

Subsequent Events

Events and transactions have been evaluated for potential recognition and disclosure through May 19, 2026, the date that the financial statements were available to be issued.

NOTE 3: LIQUIDITY AND AVAILABILITY OF FINANCIAL ASSETS

As part of the Organization's liquidity management, it has a policy to structure its financial assets to be available as its general expenditures, liabilities and other obligations come due.

The Organization's financial assets available within one year of the balance sheet dates for general expenditures are as follows:

	2025	2024
Cash and cash equivalents	\$ 687,018	\$ 739,802
Accounts receivable, net	126,294	107,783
Financial assets available to meet cash need for expenditures within one year	<u>\$ 813,312</u>	<u>\$ 847,585</u>

NOTE 4: PROPERTY AND EQUIPMENT

Property and equipment included the following at June 30, 2025 and 2024:

	2025	2024
Office equipment	\$ 6,498	\$ 6,498
Less accumulated depreciation	<u>(6,329)</u>	<u>(5,641)</u>
Total property and equipment, net	<u>\$ 169</u>	<u>\$ 857</u>

Depreciation expense for each of the years ended June 30, 2025 and 2024 totaled \$688.

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NOTES TO FINANCIAL STATEMENTS
June 30, 2025 and 2024

NOTE 5: RETIREMENT BENEFITS

The Organization has a 401(k) plan that is available to all eligible employees who have completed two months of service. Employees are automatically enrolled after 30 days of initial service at a 5% deferral. The Organization makes a safe harbor match contribution to the 401(k) plan equal to 100% of each employee's elective deferrals, or 5% of their eligible earnings. The Organization contributed \$20,003 and \$25,790 for the years ended June 30, 2025 and 2024, respectively.

NOTE 6: DEFERRED REVENUE

Deferred revenue, a contract liability, has been recorded for cash payments received in advance of performance obligations for the next fiscal year. The beginning and ending balances of deferred revenue at June 30, are as follows:

	2025	2024	2023
Deferred revenue	\$ 283,047	\$ 278,797	\$ 222,142

NOTE 7: CONCENTRATIONS

Cash and Cash Equivalents

The Organization maintains cash and cash equivalents in various financial institutions. The cash balances are insured by the Federal Deposit Insurance Corporation (FDIC) up to \$250,000. At June 30, 2025 and 2024, the Organization's uninsured cash balances totaled \$437,018 and \$409,675, respectively. The Organization has not experienced any losses on these accounts and management believes the Organization is not exposed to any significant risk on cash accounts.